

Kazakhstan Economy

Kazakhstan, Central Asia

SIGNAL

Kazakhstan's economic diversification is accelerating across manufacturing, technology, and new export corridors, even as its Russian oil-export lifeline remains under kinetic threat.

FRACTURE

Each counterweight Kazakhstan cultivates binds it deeper into one great-power supply chain, leaving no neutral ground on which a genuinely autonomous economy can stand.

Kazakhstan's economic diversification will not advance enough over the next 15 months to provide the country with a viable third path.

78%

PROBABILITY

TARGET: DECEMBER 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- **Tokayev unveils a 'new investment model' for China (Sept 25):** At the inaugural Kazakhstan-China Investment Forum in Almaty, Tokayev called for a shift from individual projects to 'integrated production ecosystems' and set a \$100 billion bilateral trade target. Fifty commercial agreements worth \$8.2 billion were signed, spanning electrolytic aluminum, 450 MW of wind, a specialized AIFC fund, automotive manufacturing, and dim-sum bonds on the HKEX.
- **South Korea emerges as a second anchor (\$19.19 billion, Sept 15):** Tokayev's Seoul state visit produced 82 commercial documents worth \$19.19 billion, elevated relations to a 'future-oriented comprehensive strategic partnership,' and proposed a joint critical-minerals company (Tau-Ken Samruk + POSCO) plus a 2027-2030 cooperation program. The headline figure is roughly six times annual bilateral trade.
- **New institutional order takes shape (Sept 23-24):** The first session of the Khalyk Kenesi (People's Council), a 126-member consultative body created by the July 1 constitution, elected former Mazhilis chair Yerlan Koshanov as chair. This completes the 'New Kazakhstan' architecture after the August 23 Kurultai elections, in which Adilet won a decisive supermajority.
- **Graham Sanctioning Russia Act renamed and advanced:** The bipartisan bill – now the 'Lindsey O. Graham Sanctioning Russia Act of 2026' – cleared the Senate on an 86-12 procedural vote and is moving through the House, sharpening secondary-sanctions exposure for Kazakhstan's transit and Russian-gas trade.

- **Manufacturing overtakes mining for the first time (H1 2026):** Manufacturing reached 47.1% of industrial output versus 46.1% for mining, with pharmaceuticals +38.5% and machinery +22% – a structural milestone undermined by oil output falling ~9% in H1 2026.
- **Middle Corridor hits new records:** TITR container traffic rose 58% to ~44,000 TEUs in the first eight months of 2026, the EU signaled up to €12 billion in corridor financing, and the World Bank identified 16 investment priorities worth ~\$25 billion.
- **Macro-stability props the diversification drive:** Inflation slowed to 9.8% in August (eleventh straight month of disinflation), the National Bank trimmed the base rate to 16.25%, ADB held GDP growth at 4.8% for 2026, and National Fund plus reserves reached \$127.3 billion.

ANALYSIS

POLITICAL

The defining political fact since August is completion of the 'New Kazakhstan' constitutional architecture. The August 23 Kurultai elections – the first under the new constitution that took effect July 1 – delivered Adilet (into which the long-ruling Amanat merged) a decisive supermajority of 71.17% of the vote and 110 of 145 seats. The March 15 referendum that authorized this consolidation passed with 87.15% approval. The bicameral Mazhilis-Senate structure has been collapsed into a single unicameral Kurultai elected entirely by party list, alongside a new vice presidency and the presidentially appointed, 126-member Khalyk Kenesi (People's Council), which held its first session on September 23-24 and elected former Mazhilis chair Yerlan Koshanov to lead it.

The practical significance is twofold. First, Tokayev has centralized policy execution precisely when the economic agenda demands speed: a supermajority Kurultai and a hand-picked consultative council remove the legislative friction that might otherwise slow the investment-driven diversification program. Second, this consolidation means Kazakhstan's 'multi-vector' posture is now unambiguously a presidential project. The August 14 revision of the Foreign Policy Concept – stripping out Nazarbayev-era framing, adapting to the new constitution, formalizing the Astana International Forum, and adding explicit commitments to protect citizens and businesses abroad while countering disinformation – institutionalizes multi-vectorism under Tokayev's personal brand rather than as a shared national inheritance.

That posture is being rewarded and tested simultaneously. Tokayev's framing of Kazakhstan as a 'middle power' that will derive influence 'from connecting, not choosing' – articulated at the September SCO summit in Bishkek, where he also proposed an International Water Organisation, an SCO transport strategy to 2035, and offered to host the SCO Development Bank – captures the strategy in a sentence. The invitation to the US-hosted G20 summit in Miami (December 14-15) is the clearest payoff: the first time a

Kazakh leader has been invited, backed by H1 2026 US trade exceeding \$1 billion (+10%) and cumulative US investment above \$60 billion.

But the sharpest stress test is the US-China AI dilemma. Reports in August indicated Washington is preparing an ultimatum forcing partners to choose between the American 'Pax Silica' and China's WAICO – the World AI Cooperation Organization that Kazakhstan co-founded. Kazakhstan signed both. Analysts such as Justin Burke have called the 'us-or-them' framing a 'lose-lose' proposition for both Washington and Central Asia, while The National Interest has argued the US should compete rather than demand exclusivity. For Kazakhstan, this is no longer an abstract governance question: it is the template for how every future great-power demand will be structured, and it exposes the core weakness of a strategy built on being indispensable to everyone simultaneously.

WATCH INDICATORS

- CPC terminal operational status and any re-escalation of strikes on Black Sea energy infrastructure – the single largest swing factor for export revenue
- Lindsey O. Graham Sanctioning Russia Act final passage and whether Kazakhstan's Russian-gas and transit trade is named or captured by 'top-five facilitator' provisions
- US-China AI ultimatum enforcement – whether Kazakhstan is forced to choose between Pax Silica and WAICO, and the economic cost of that choice
- Fulfilment rate of the South Korea \$19 billion package – how many agreements reach final investment decisions versus remaining memorandums of understanding
- Kazakhstan-China trade trajectory toward \$100 billion and the share of Chinese-controlled oil production (~25% and rising)
- Data Center Valley first-facility milestone (June 2027) and whether the electricity deficit delays or derails the AI computing bet
- National Fund drawdowns and the 2027-2029 budget's oil-price and production assumptions (96 million tons at \$70/bbl) as the fiscal test of diversification

PROBABILITY TRIGGERS

EVENT	DIRECTION
Lindsey O. Graham Sanctioning Russia Act passes into law with provisions covering Kazakhstan's transit or Russian-gas purchases	Up
Kazakhstan-China bilateral trade exceeds \$60 billion in 2026 or China's share of external trade approaches two-thirds	Up
	Up

EVENT	DIRECTION
Russia gas imports expand to the additional 9 bcm in 2027, deepening energy dependence	
US-China AI ultimatum forces Kazakhstan to formally abandon one of the two frameworks	Up
Alternative oil export routes (BTC + Baku-Supsa + China pipeline) exceed 1 million b/d combined	Down
South Korea \$19 billion package deploys more than \$5 billion into operating projects within 18 months	Down
Data Center Valley first 50 MW facility is commissioned on schedule in June 2027 with secured hyperscaler tenants	Down
Gulf sovereign wealth funds commit more than \$5 billion to Kazakh non-oil and knowledge-economy assets	Down
Middle Corridor and KZ-China pipeline combined deliver a credible CPC-independent export channel	Down

KEY SOURCES

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7. Interfax: ADB keeps Kazakhstan GDP, inflation forecasts for 2026-2027
8. National Bank of Kazakhstan: Base Rate Decision of September 4, 2026
9. Kazakhstan Today: National Fund and Reserves Reach \$127.3 Billion
10. CSIS Nuclear Network: Kazakhstan Chose Russia and China for Its Reactors
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12. DKNews: NVIDIA Founder Says Kazakhstan Is Emerging as Part of Global AI Infrastructure
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16. The Guardian: US lawmakers spar over bill giving Trump more power to sanction Russia

